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UPDATE

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Global Macro Commentary | North America

October 16: Credit Crunch?

US rates rally on Fed cut expectations after regional bank credit losses; Fed's Waller sees no material changes; BoJ's Tamura leans hawkish; German draft budget shows higher-than-expected deficit; weak Australian labor data; Trump & Putin to meet; DXY at 98.336 (-0.5%); US 10y at 3.975 (-5.4bp).

Risk sentiment shifts after two US regional banks report credit losses, raising concerns about US credit markets and broader economic conditions.

Developed Markets

- **US rates bull-steepen sharply as signs of credit weakness strengthen expectations for future Fed cuts.** The morning's weak Philly Fed business outlook (-12.8; C: 10.0) and remarks from Fed Governor Waller (see below) are overshadowed by two regional banks reporting loan losses tied to funds that invest in distressed commercial mortgages, raising concerns about the health of US consumer credit, particularly in light of recent news in the credit markets. US equities sell off (S&P 500: -0.6%) and bonds rally in a risk-off rotation, with the front end outperforming (2y: -7bp) as markets fully price 25bp cuts in both October and December with a small chance of 50bp cuts, in line with our expectations. The equity sell-off is most pronounced in the financial sector, with the KBW Bank Index falling 4%.

- **Growth concerns drive commodity prices and inflation expectations lower.** Brent oil prices fall after the regional banks' announcements but show little reaction to the afternoon call between President Trump and Russian President Putin, after which the two leaders announce another summit at an unspecified time to discuss the Russia-Ukraine conflict. Front-end breakevens tighten 3bp alongside lower oil prices, while 30y breakevens tighten by 1bp.

- **Japanese rates twist flatten further as BoJ board member Tamura advocates for the policy rate to "be brought closer to a neutral level."** Although Tamura is widely regarded as hawkish and his view is largely priced by the market, the statement still drives a slight recovery in near-term rate hike expectations, leading 2y JGBs to sell off 2bp. Meanwhile, long-end JGBs remain strong as the BoJ's JGB purchase operation shows smaller selling pressure on 25y+ sectors than the prior operation. In the New York session, BoJ Governor Ueda states that there is "no change" in the BoJ's stance, and it will tighten monetary policy if there is increased certainty that the expected economic outlook will materialize.

- **Euro area rates slightly twist-steepen, with the long end underperforming following the release of the German 2026 draft budget with a higher-**

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than-expected deficit. 30y bunds sell off 1bp, while 2y yields shift 1bp lower in sympathy with US rates. Meanwhile, the current French government survives a scheduled no-confidence vote, as expected, but challenges remain in passing a budget ahead of key deadlines in December. French equities (CAC 40: +1.4%) outperform the broader region (Euro Stoxx 50: +0.8%) as the 10y OAT-Bund spread narrows ~0.5bp. Italian rates also outperform, with the BTP-Bund spread narrowing 2bp.

- **The dollar weakens (DXY: -0.5%) in line with lower yields while other safe-haven currencies benefit from the risk-off move (USD/CHF: -0.5%; USD/JPY: -0.4%).** AUD underperforms the G10 (AUD/USD: -0.4%) as local rates rally on an upside surprise in the unemployment rate at 4.5% (C: 4.3%). CAD also lags the dollar weakness (USD/CAD: +0.1%) with spillover from US growth concerns and comments from BoC Governor Macklem reiterating poor growth expectations.

Emerging Markets

- **Korea and India see FX strength amid constructive trade developments with the US.** INR gains another 0.3% after President Trump states that Indian Prime Minister Modi has agreed to stop purchases of Russian oil, the basis for the current higher US tariffs on India, though the agreement was not confirmed by Indian officials. The move comes amid continued unconfirmed reports of FX intervention by the RBI. In Korea, KRW also rallies 0.3% to 1,418 per USD amid signs of progress towards an agreement on the $350bn US investment deal with potential provisions to avoid unsettling Korea's FX market. The move is supported by a rally in local equities (KOSPI: +2.5%). Indian and Korean rates both bear-steepen in line with the broader region as investors dial back monetary policy easing expectations.

- **In China, USD/CNH initially declines 0.1% following US Treasury Secretary Bessent's proposal on Wednesday for an extended tariff pause and an even lower USD/CNY fixing (7.0968; P: 7.0995),** but eventually retraces to finish the Asia session unchanged at ~7.1285. In Taiwan, TWD weakens 0.2% against USD amid unconfirmed reports of state banks buying USD, despite strong earnings from a major semiconductor company.

- **In LatAm, Colombia leads a broad strengthening against the dollar (USD/COP: -1.3%) amid reports that Colombia is preparing a draft decree aimed at boosting private pension fund investments in local markets.** USD/BRL weakens 0.2% after Brazil's August economic activity comes in slower than expected (0.12% m/m; C: 0.70%). Colombia's COP IBR curve sells off -3bp in the front end and belly amid fiscal and political uncertainties ahead of the 2026 elections. Colombia's public credit director says the government will keep repurchasing sovereign bonds to improve its debt profile, aiming to cut interest costs to 3.8% of GDP from 4.7%. Brazil's DI curve trades largely flat, underperforming US Treasuries.

Central Bank Monitor

Developed Markets

- **Fed Governor Waller** signaled support for a rate cut at the upcoming FOMC meeting, aligning with Chair Powell's recent remarks that the economy has not materially changed since the last meeting. He emphasized confidence in inflation returning to 2% and noted that future policy decisions will depend on how conflicting signals from economic activity and the labor market are resolved.
- **Fed Governor Barr** emphasized the need for stronger regulatory frameworks and consumer protections for stablecoins, noting existing gaps in legislation like the GENIUS Act. He also stated that stablecoins currently pose limited risk to monetary policy but require clearer oversight to build public trust.
- **Fed Governor Miran** said monetary policy is too tight and advocated for a 50 basis point rate cut, though he expects only 25. He sees the economy in decent shape but flagged new risks, including US-China tensions, and projects 2% growth in 2025.
- **ECB President Lagarde** reiterated that growth and inflation risks are balanced, and the ECB is well positioned to face future shocks.
- **ECB Governing Council Member Wunsch** said the ECB is "essentially in a good place," and risks are "a bit more on the downside" for inflation.
- **ECB Governing Council Member Scicluna** said the ECB can take its time to decide on next steps, and the effects of US tariffs are still unclear.
- **ECB Governing Council Nagel** said he is happy with current monetary policy and sees no reason for a shift unless incoming data conveys a different narrative.
- **ECB Governing Council Member Kocher** said monetary policy is in a "good place," and the ECB is at the end of rate cutting, or very close.
- **ECB Governing Council Member Dolenc** said it is hard to find reasons for the ECB to change rates in the next few months, and the next ECB move "could go in either direction."
- **BoJ Governor Ueda** said "there's no change in our stance that we will adjust the degree of monetary easing if our confidence in hitting the outlook increases." Ueda plans to continue gathering information and reassess shortly before the BoJ's October meeting.
- **BoJ Board Member Tamura** reiterated the need for rate hike given upside risks to inflation. After voting for a rate hike at the September meeting, Tamura also noted that the policy rate should be brought closer to neutral.

Emerging Markets

- In Brazil, **BCB Board Member David** reiterated the committee's hawkish stance, echoing recent comments from other members, emphasizing that rates will remain at 15% for an extended period to anchor inflation toward the 3% target. He noted CPI expectations remain high, inflation progress is slow, and cuts are unpredictable amid uncertainty. Growth should stay within potential, with policy adjustments only if the outlook shifts. The market is pricing about 3bp of cuts for the remainder of 2025 and roughly

230bp between 2026–2027, implying a terminal rate near 12.54%.

- In India, **RBI Governor Malhotra** said an economy's macro fundamentals determine the exchange rate, and INR has not appreciated as much as other currencies. He reiterated that the level of the exchange rate is decided by markets, and the RBI does not target specific levels or bands. Malhotra stated that India does not need CBDCs or stablecoins for domestic payments, but sees potential for CBDC's use in cross-border transactions. He added that the RBI aims to promote CBDCs over cryptocurrencies, which have large implications for monetary policy. He said gold price appreciation has helped boost India's FX reserves, though any gold price decline will have limited implications for RBI. He highlighted RBI's projections have accounted for higher tariffs; India's economy is largely domestic-driven so higher tariffs are not a major concern, though growth could see upside risk if tariff issues are resolved quickly.
- In Malaysia, **BNM** announced that KLIBOR will be discontinued from January 2029 and that market participants should be operationally ready to offer products referencing the Malaysia Overnight Rate and Malaysia Islamic Overnight Rate starting October 2026
- In China, **PBoC** and the **Central Bank of Iceland** renewed their bilateral currency swap agreement worth CNY3.5bn for five years

Exhibit 1: G4 Rates Closes (5pm NY)

	US			Germany			UK			Japan		
Tenor	16-Oct	1d Δ (bp)	2wk	16-Oct	1d Δ (bp)	2wk	16-Oct	1d Δ (bp)	2wk	16-Oct	1d Δ (bp)	2wk
2y	3.424	(7.3)		1.906	(1.3)		3.847	(4.5)		0.914	2.0	
3y	3.428	(7.2)		1.967	(1.2)		3.833	(4.7)		0.995	1.5	
5y	3.547	(6.9)		2.157	(0.7)		3.951	(4.8)		1.208	2.1	
7y	3.738	(6.4)		2.301	(0.4)		4.095	(4.1)		1.424	1.3	
10y	3.975	(5.4)		2.570	0.0		4.500	(4.2)		1.654	0.7	
20y	4.552	(4.1)		3.057	1.0		5.190	(4.1)		2.649	(4.4)	
30y	4.584	(4.1)		3.158	1.3		5.299	(4.3)		3.123	(4.3)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 2: Inflation Closes (5pm NY)

	US TIPS			10y Real Yields, BEI							
Tenor	16-Oct	1d Δ (bp)	2wk	10y	16-Oct	1d Δ (bp)	2wk	10y	16-Oct	1d Δ (bp)	2wk
5y	1.192	(3.9)		DBRi	0.623	0.5		BTPi	1.711	2.5	
BEI	2.325	(3.1)		BEI	1.733	(0.8)		BEI	1.706	(0.9)	
10y	1.695	(3.0)		UKTi	1.527	(3.7)					
BEI	2.277	(2.4)		BEI	3.042	(0.7)					
30y	2.375	(2.8)		JGBi	0.023	2.4					
BEI	2.209	(1.3)		BEI	1.606	(1.4)					

Source: Morgan Stanley Research, Bloomberg

Exhibit 3: Macro Closes (5pm NY)

Majors				EM				Equities / Commodities			
Spot	16-Oct	1d Δ (%)	2wk	Spot	16-Oct	1d Δ (%)	2wk	Index	16-Oct	1d Δ (%)	2wk
DXY	98.34	(0.5)		CNH	7.12	(0.1)		S&P	6629.07	(0.6)	
EUR	1.169	0.3		INR	87.83	(0.3)		Stoxx	5652.01	0.8	
GBP	1.343	0.2		THB	32.55	0.0		FTSE	9436.09	0.1	
JPY	150.43	(0.4)		KRW	1416.95	(0.4)		Nikkei	48277.74	1.3	
CHF	0.793	(0.5)		ZAR	17.34	(0.1)		VIX	25.31	22.6	
AUD	0.649	(0.4)		MXN	18.44	(0.1)		Gold (S)	4326.58	2.8	
CAD	1.405	0.1		BRL	5.44	(0.2)		WTI (Fut)	57.46	(1.4)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 4: G4 Central Bank Implied Pricing

Central Bank OIS

Fed	Implied	1d Δ (bp)	Total Δ	ECB	Implied	1d Δ (bp)	Total Δ	BOE	Implied	1d Δ (bp)	Total Δ	BOJ	Implied	1d Δ (bp)	Total Δ
EFFR (10/15)	4.100	0.0	--	EONIA (10/15)	1.928	0.0	--	SONIA (10/15)	3.967	0.0	--	TONAR (10/15)	0.477	0.0	--
10/29/25	3.848	(1.5)	(25.2)	10/30/25	1.923	0.2	(0.5)	11/06/25	3.931	(0.6)	(3.6)	10/30/25	0.521	1.1	4.4
12/10/25	3.571	(5.9)	(52.9)	12/18/25	1.885	(1.0)	(4.3)	12/18/25	3.856	(1.5)	(11.1)	12/19/25	0.625	2.2	14.8
01/28/26	3.418	(7.5)	(68.2)	02/05/26	1.859	(1.9)	(6.9)	02/05/26	3.707	(2.2)	(26.0)	01/23/26	0.683	1.4	20.6
03/18/26	3.283	(8.3)	(81.7)	03/19/26	1.830	0.1	(9.8)	03/19/26	3.650	(4.5)	(31.8)				
04/29/26	3.205	(8.8)	(89.5)	04/30/26	1.744	(6.0)	(18.4)	04/30/26	3.547	(5.0)	(42.0)				
06/17/26	3.057	(9.1)	(104.3)	06/11/26	1.737	(3.4)	(19.1)	06/18/26	3.521	(3.9)	(44.6)				

Source: Morgan Stanley Research, Bloomberg

The Day Ahead

Developed Markets

- 1:45pm BST - **ECB Governing Council Member Nagel** will speak in Washington, D.C.
- 6:00pm BST - **ECB Governing Council Member Rehn** will speak in Washington, D.C.
- 7:00am BST - **Sweden September Unemployment Rate SA** (MSe: 8.7%; C: 8.7%; P: 8.8%). We expect unemployment to decline in September as employment continues to improve among both temporary and permanent employees
- •12:15pm EST - **St. Louis Fed President Musalem** will speak at IIF

Emerging Markets

- Fri 7:00am HKT - **Korea September Unemployment Rate** (MSe: 2.5%; C: 2.6%; P: 2.6%)
- 8:30am HKT - **Singapore September Non-Oil Domestic Exports** (C: -2.1% y/y; P: -11.3%)
- 12:00pm HKT - **Malaysia 3Q25 Preliminary GDP** (MSe: 3.8% y/y; C: 4.2%; P: 4.4%); **September Trade Balance** (C: MYR16.8bn; P: MYR16.1bn); **Exports** (C: 3.1% y/y; P: 1.9%) and **Imports** (C: 1.4% y/y; P: -5.9%)

Economic Releases

Developed Markets

- **US October Philadelphia Fed Business Outlook:** -12.8 (C: 10.0; P: 23.2). The Philly Fed Manufacturing Survey headline fell sharply to -12.8 from +23.2, but underlying details such as stronger new orders and only slight employment softness suggest continued manufacturing resilience with some signs of rising price pressures.
- **US October New York Fed Services Business Activity:** -23.6 (P:-19.4). Business activity in the region's service sector fell sharply in October, with the headline index dropping four points to -23.6, a multi-year low. The business climate index also slid to -42.9, indicating conditions remain significantly worse than normal. Note that the service index has signaled persistent contraction this year, in contrast to the strong service readings in Q1 and Q2 GDP.
- **US October NAHB Housing Market Index:** 37.0 (C:33; P:32). Confidence among homebuilders improved this month as lower mortgage rates boosted sentiment, pushing the market conditions index up 5 points to 37, the highest

since April, while builders slowed construction and offered price cuts and incentives, with 38% reporting reductions in October.

- **Canada September Housing Starts:** 279.2k (C: 257.5k; P: 245.8k)
- **Australia September Employment:** 14.9k (MSe: 30.0k; C: 20.0k; P: -5.4k); **Unemployment Rate:** 4.5% (MSe: 4.2%; C: 4.3%; P: 4.2%) & **Participation Rate:** 67.0% (MSe: 66.8%; C: 66.8%; P: 66.8%). A notably weak print relative to expectations. While there is likely some noise in the monthly data, the figures point more clearly to a continued easing in labour market conditions, with a sustained slowdown in jobs growth over the course of this year.
- **UK August Preliminary GDP:** 0.1% m/m (MSe: 0.1%; C: 0.1%; P: 0.0%); **Index of Services:** 0.0% m/m (MSe: 0.1%; C: 0.1%; P: 0.1%) & **Industrial Production:** 0.4% m/m (MSe: 0.0%; C: 0.2%; P: -0.9%). UK GDP growth for August came broadly in line with consensus expectations, though the underlying details were somewhat softer — including flat services output and backward revisions to prior months. Our economists note that next week's inflation and PMI data will carry greater weight for the Bank of England's policy outlook ahead of the November meeting. The recent softness marginally increases the likelihood of policy action before year-end, though they continue to view a February rate cut as the base case. Within the services sector, our economists highlight two key areas of strength in August: administrative and support services, which rose 1.0% m/m, boosted by imputed rents and leasing activity; and hospitality, which rebounded by 1.3% m/m following a weak July. Consumer-facing services overall rose just 0.1% m/m. Over the three months through August, consumer-facing services declined by 0.6%, while total services rose by 0.4% — a pattern reflecting ongoing resilience in "white-collar" components of the sector.

Emerging Markets

- **Brazil August Economic Activity:** 0.12% (P: 1.15% y/y; C: 0.70%). Economic activity surprised sharply to the downside, signaling weaker momentum than expected. Despite the soft print, BCB officials remain hawkish, stressing that rates will stay at 15% for an extended period to ensure inflation converges to the 3% target.
- **Korea September Total Bank Lending to Household:** KRW1170.2tr (P: KRW 1168.3tr)

For more details, please refer to our economists' weekly reports and data previews:

- *US*
- *Japan*
- *Europe*
- *Asia/Pacific*
- *LatAm*
- *CEEMEA*

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- Australia Macro+: September Labour Force: Notable Weakness
- China Musings: China's Rare Earth Gambit

G4 Smarter (Beta) Trading Partners

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Since 2000, enhancements to a G4 10y government bond futures momentum strategy have produced higher Sharpe ratios and stronger returns relative to total return government bond indices for the G4: US, Germany, Japan, and the UK. See A "Smarter" (Beta) Way to Trade G4 10y Futures Duration? for more information on these strategies.

Exhibit 5: Trading Signals for G4 Smarter (beta) Trading Strategy

Current Risk, G4 10y Futures	G4 Strategy Weight	Trade Longs Portfolio	Fade Shorts Portfolio	Total Risk Trade Longs Only	Total Risk Trade Longs/Fade Shorts (max 200%)	Trade Longs Portfolio Entry Date	Trade Longs Portfolio Exit Date	Fade Shorts Portfolio Entry Date	Fade Shorts Portfolio Exit Date
JB 10y Future	32.50%	100%	100%	100%	200%	10/15/2025	11/20/2025	9/19/2025	10/28/2025
GE 10y Future	29.25%	100%	100%	100%	200%	10/7/2025	11/11/2025	9/15/2025	10/20/2025
US 10y Future	30.50%	100%	100%	100%	200%	10/14/2025	11/19/2025	9/24/2025	10/30/2025
UK 10y Future	7.75%	100%	100%	100%	200%	10/15/2025	11/19/2025	9/25/2025	10/30/2025

Source: Morgan Stanley Research

Trading Strategy 1 – "Trade Longs/Fade Shorts"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, buy the futures contract and hold for a 25-business-day period. In short, this strategy buys futures when the Simple Moving Average Crossover (SMAX) generates both a long and a short signal, given the historical outperformance of long signals traded long and the underperformance of short signals traded short. Given that the SMAX could generate both a long and a short signal within the predefined holding period, an investor may have a 200% long position since each of the two signals would be traded in separate portfolio sleeves.

Trading Strategy 2 – Trade "Longs Only"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, do nothing. In short, an investor *only* trades long signals initiated by the SMAX given their historical precedent to outperform.

US Holiday Trading Strategy

Currently Active Strategies

None.

Combining the individual trading signals based on 10y Treasury future (TY) price patterns before and after US holidays has generated an annual strategy with no down years since 1987. See Trading 10y Treasury Futures Around US Holidays for more information.

Using historical data since 1983, we created a trading strategy using 10y Treasury futures (TY) that trades 11 times per year, either long or short, before or after the following US holidays: New Year's Day, Martin Luther King Day, Presidents' Day, Good Friday, Memorial Day, Independence Day, Labor Day, Columbus Day, Thanksgiving, and Christmas. Exhibit 6 displays the trading rules:

Exhibit 6: Trading rules for US holiday trading model using US 10y futures contracts (TY)

Holiday	Day of Week	Direction	Before/After Holiday	Trading Rule (business days, 3pm NY unless specified)	Trade Entry (business days)	Trade Exit (business days)
New Year's Day	Rotates	Long TY	After	Buy TY New Years +1, Sell TY New Years +4	New Year + 1	New Year + 4
Martin Luther King Day 1	Monday	Long TY	Before	Buy TY Tuesday before MLK, Sell Friday before MLK	MLK - 4	MLK - 1
Martin Luther King Day 2	Monday	Short TY	After	Sell TY Tuesday after MLK, Buy Friday after MLK	MLK + 1	MLK + 4
President's Day	Monday	Long TY	After	Buy TY Tuesday after Pres. Day, Sell TY Friday after Pres. Day	Pres. Day + 1	Pres. Day + 4
Good Friday	Friday	Long TY	After	Buy TY Monday after Good Friday, Sell TY Friday after Good Friday	Good Friday + 1	Good Friday + 5
Memorial Day	Monday	Long TY	After	Buy TY Tuesday after Mem. Day, Sell TY Friday after Mem. Day	Mem. Day + 1	Mem. Day + 4
Independence Day (July 4th)	Rotates	Long TY	After	Buy TY Independence Day + 2, Sell TY Independence Day + 4	Ind. Day + 2	Ind. Day + 4
Labor Day	Monday	Long TY	Before	Buy TY Monday before Labor Day, Sell TY Thursday before Labor Day	Labor Day - 4	Labor Day - 2
Columbus Day	Monday	Short TY	Before	Sell TY Monday before Col. Day, Buy TY Thursday before Col. Day	Colum. Day - 5	Colum. Day - 2
Thanksgiving	Thursday	Long TY	Before	Buy TY Friday before Thanksgiving, Sell TY Tuesday before Thanksgiving	Thanksgiving - 4	Thanksgiving - 2
Christmas	Rotates	Short TY	Before	Sell TY Christmas Day - 4, Buy TY Christmas Day - 1	Christmas - 4	Christmas - 1

Source: Morgan Stanley Research. Note: Past performance is no guarantee of future results.

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1499	41%	389	46%	26%	702	41%
Equal-weight/Hold	1618	44%	375	44%	23%	782	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	577	16%	88	10%	15%	234	14%
Total	3,698		853			1719	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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